Block practice · The economic problem, factors and sectors

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Scarcity, choice and opportunity cost

The four factors of production

Sectors of the economy and how they change

Draw a sector pie chart for a country

Reading a production possibility curve and economic growth

Draw a PPC showing a movement or shift

Opportunity cost from a PPC diagram

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Practice workbook · Scarcity, choice and opportunity cost

Unlimited wants against finite resources, wants versus needs, the need to choose, the next best alternative forgone by consumers, firms and government, and who these economic agents are.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-02

1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

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(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

Figure 1 shows the market for solar panels.

(g) Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

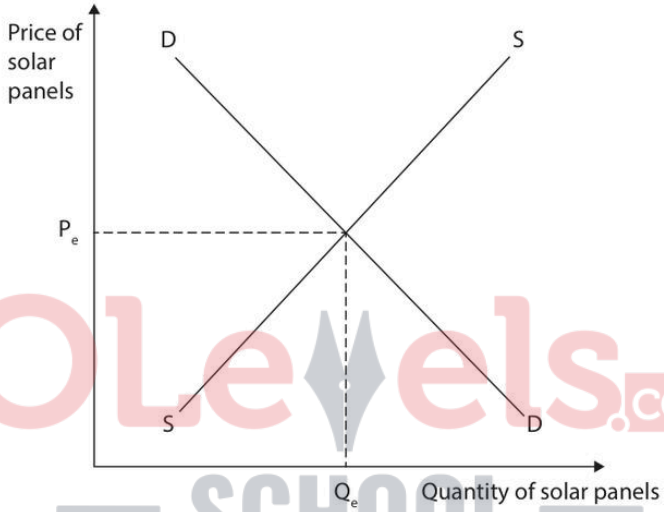


Figure 1

Casper has decided to purchase a new television.

(h) Explain **one** possible opportunity cost for Casper of this decision.

(3)

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1. Question 1 · part h · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part h only.

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Anastasia runs a martial arts club in District 16 of Budapest, Hungary. She offers classes to children and to adults. There are six classes a week. Following a successful few years, Anastasia is considering growing the business by opening a second club in another district of Budapest.

(i) With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club.

(6)

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1. Question 1 · part h · 3 marks · Working and answer

Working and answer

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2. Question 3 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part b · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

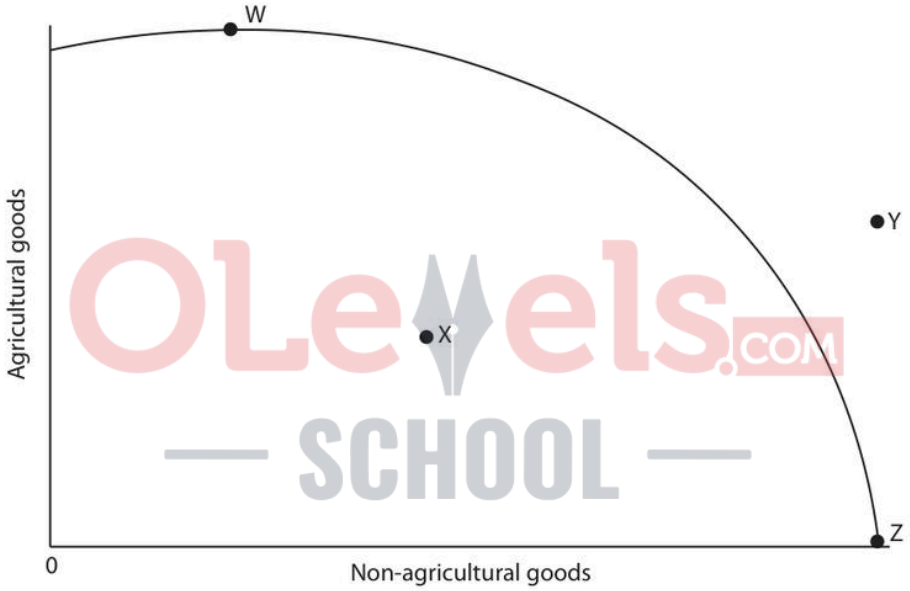


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 1 · part e · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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4. Question 1 · part e · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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4. Question 1 · part e · 1 mark · Working and answer

Working and answer

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5. Question 1 · part h · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
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- ☒ **D** $450 loss

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(2)

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5. Question 1 · part h · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(e) Define the term government.

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(2)

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5. Question 1 · part h · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the effects on the equilibrium price and quantity after the government removes an indirect tax on sustainable fuel. Label the new curve, the new equilibrium price and quantity.

(3)

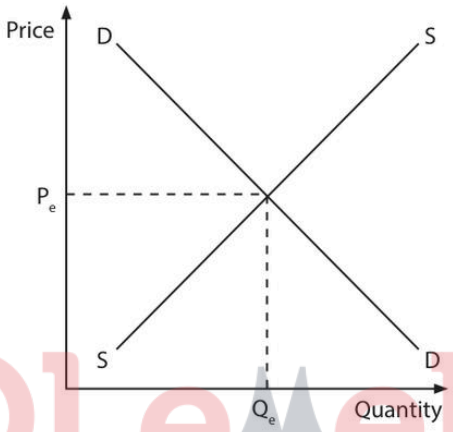


Figure 1

A firm has decided to purchase a new computer system.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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5. Question 1 · part h · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

In the UAE, 87% of Dubai's shopping malls are owned by just five firms. The retail sector is predicted to reach $71bn in sales by 2021 and employ 25% of Dubai's workforce. Each shopping mall offers something different to customers, for example an indoor ski slope or an indoor aquarium. Dubai's retailers benefit from its tourism sector, as the city ranks as one of the busiest shopping destinations in the world.

(Source adapted from: https://wwd.com/business-news/technology/savant-data-systems-dubai-retail-report-10956883/)

(i) With reference to the data above and your knowledge of economics, analyse why the shopping malls in Dubai are considered to be an oligopoly.

(6)

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5. Question 1 · part h · 3 marks · Working and answer

Working and answer

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6. Question 2 · part e · 1 mark

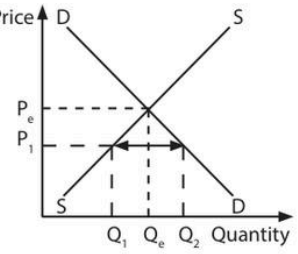
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Further practice · Attempt part e only.

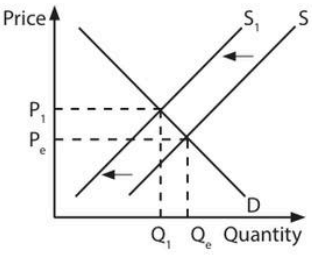
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

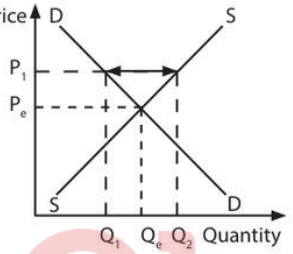
☒ **A**



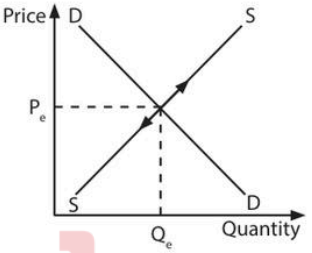
☒ **B**



☒ **C**



☒ **D**



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6. Question 2 · part e · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

6. Question 2 · part e · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

(f) Describe **one** factor that may influence the growth of a firm.

(2)

There are many health warnings about the dangers of eating too much sugar but some consumers continue to do so.

(g) Explain **one** reason why consumers may still make this decision.

(3)

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6. Question 2 · part e · 1 mark · Working and answer

Working and answer

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

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(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects of an increase in income on the equilibrium price and quantity for wireless headphones. Label the new curve, the new equilibrium price and quantity.

(3)

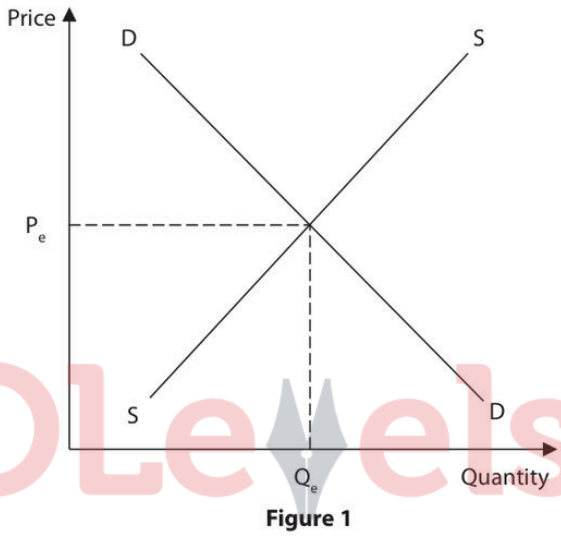


Figure 1

The government of a country has decided to build a new hospital.

(h) Explain **one** possible opportunity cost for the government of this decision.

(3)

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7. Question 1 · part h · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

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McAfee is a US-based global computer software security company. In 2017, its revenue was over $2.5bn. The company operates a 'fundraising match programme'. This means when one of its 7,600 employees participates in a fundraising activity, such as a walk, run or cycle event, the company will contribute an equal amount. For every $1 raised for charity by an employee, the company will also contribute $1 to the charity, up to a maximum of $1 000 per person.

(Source adapted from: https://doublethedonation.com/tips/companies-that-donate-to-nonprofits/#match)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons why McAfee chooses not to profit maximise but instead operates the fundraising match programme.

(6)

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7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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8. Question 1 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

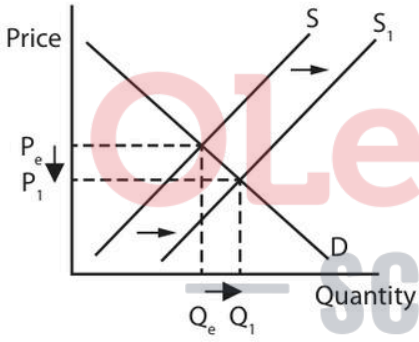
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

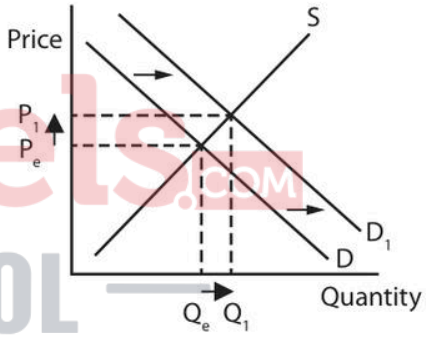
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

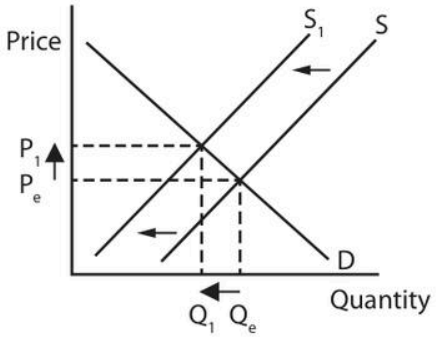
☒ **A**



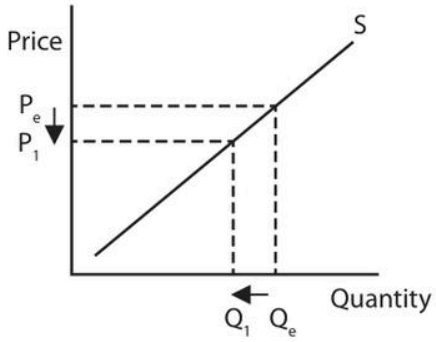
☒ **B**



☒ **C**



☒ **D**



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8. Question 1 · part a · 1 mark · Working and answer

Working and answer

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9. Question 1 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

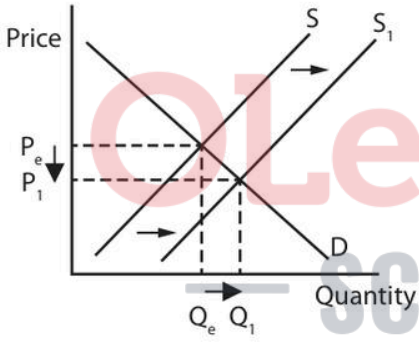
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

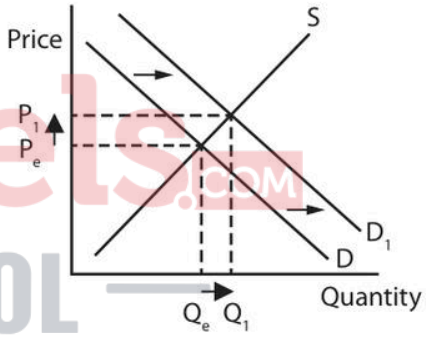
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

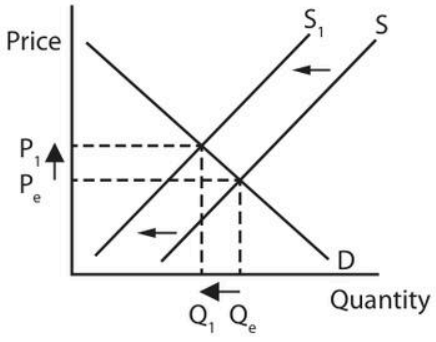
☒ **A**



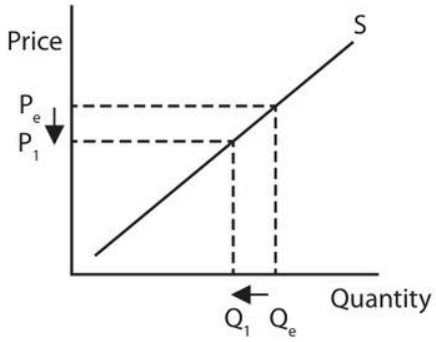
☒ **B**



☒ **C**



☒ **D**



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9. Question 1 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

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9. Question 1 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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9. Question 1 · part e · 1 mark · Working and answer

Working and answer

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10. Question 1 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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10. Question 1 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit.
It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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10. Question 1 · part e · 1 mark · Working and answer

Working and answer

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11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(f) Describe **one** reason why infinite wants lead to scarcity.

(2)

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11. Question 2 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Figure 3 shows the demand for cocoa beans during 2019.

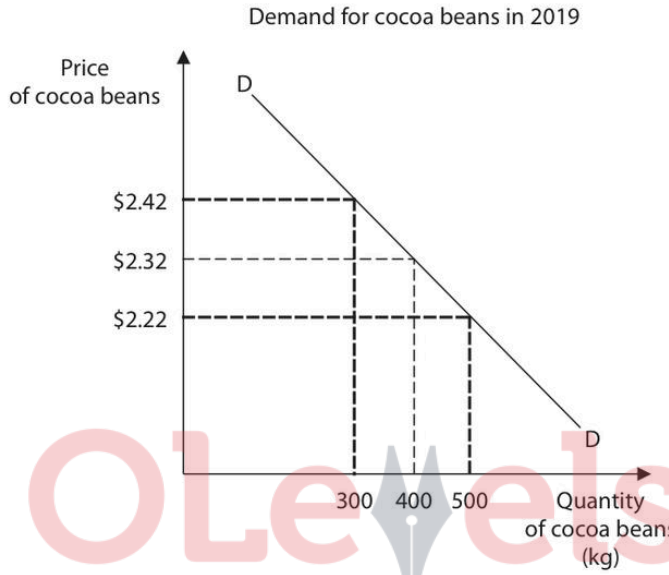


Figure 3

(g) Explain **one** effect on the demand curve for cocoa beans following a change in the price.

(3)

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11. Question 2 · part f · 2 marks · Working and answer

Working and answer

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12. Question 3 · part a · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following could be described as an economic need?

(1)

- ☒ **A** Haircut
- ☒ **B** Holiday
- ☒ **C** Shelter
- ☒ **D** Smartphone

(b) Which **one** of the following is an example of an external benefit?

(1)

- ☒ **A** Education
- ☒ **B** Air pollution
- ☒ **C** Overcrowding
- ☒ **D** Resource depletion

(c) Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)



Figure 3

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12. Question 3 · part a · 1 mark · Working and answer

Working and answer

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13. Question 2 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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13. Question 2 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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Figure 3 shows some of the production costs in March for a firm manufacturing clothing in Bangladesh.

Production costs	Bangladeshi Taka (Tk)
Rent	20 250
Raw materials	10 050
Advertising	5 125
Labour (paid in direct proportion to output)	105 000

Figure 3

(d) Calculate the **total fixed costs** for the firm in March. You are advised to show your working.

(2)

(e) Describe **one** reason why an entrepreneur is a factor of production.

(2)

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13. Question 2 · part c · 2 marks · Working and answer

Working and answer

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14. Question 1 · part e · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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P 7 2 9 6 8 R A 0 2 2 4

14. Question 1 · part e · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(e) Define the term government.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working.

(2)

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14. Question 1 · part e · 1 mark · Working and answer

Working and answer

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15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

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- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(1)

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(2)

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15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Figure 1 shows the market for tennis balls.

(g) Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

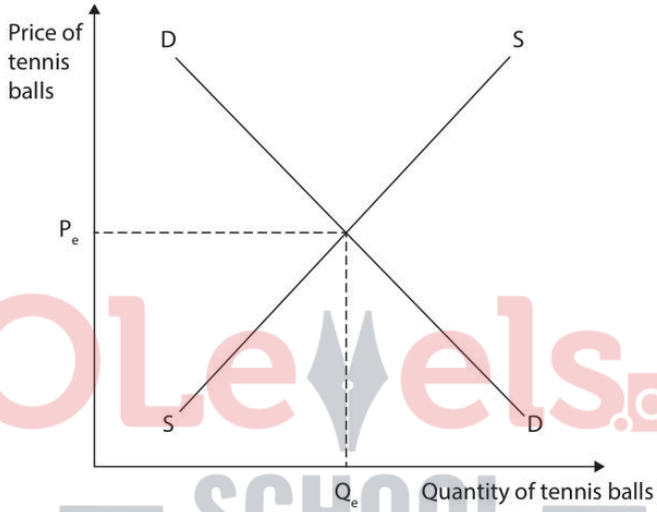


Figure 1

A firm has decided to purchase a new delivery vehicle.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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P 7 2 9 6 8 R A 0 4 2 4

15. Question 1 · part h · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Jags owns a café in a small town in Malaysia. During a recent school holiday, she offered a free lunch to each child visiting the café with a paying adult. This was welcomed by customers who have had problems in the last few months due to the rising cost of living.

(i) With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit.

(6)

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15. Question 1 · part h · 3 marks · Working and answer

Working and answer

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16. Question 1 · part e · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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16. Question 1 · part e · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part e only.

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(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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16. Question 1 · part e · 1 mark · Working and answer

Working and answer

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17. Question 1 · part a · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a definition of opportunity cost?

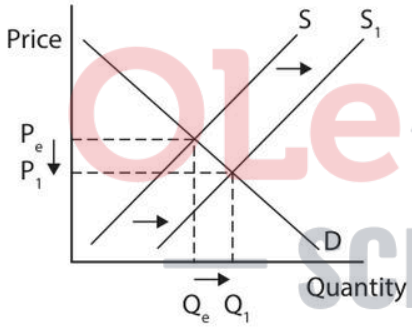
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

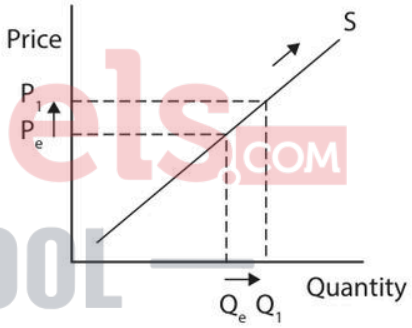
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

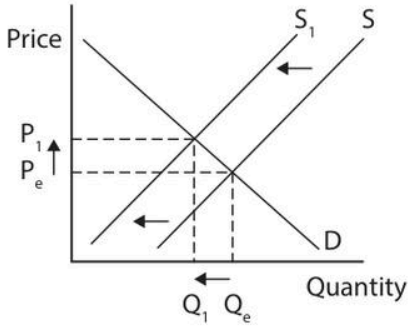
☒ **A**



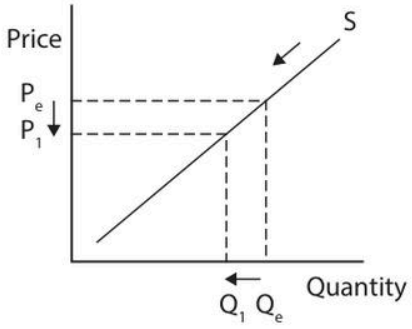
☒ **B**



☒ **C**



☒ **D**



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17. Question 1 · part a · 1 mark · Working and answer

Working and answer

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18. Question 1 · part e · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part e only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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P 7 2 1 3 2 A 0 2 2 4

18. Question 1 · part e · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part e only.

(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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18. Question 1 · part e · 1 mark · Working and answer

Working and answer

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Practice workbook · The four factors of production

Meaning of production and producers; the four factors and how real inputs (natural resources, workers, machines, the organiser) are classified.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-01

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

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(e) Define the term congestion.

(1)

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

Figure 2 shows some of the monthly production costs for a firm which makes furniture.

Production costs	€
Rent	30 000
Raw materials	16 500
Insurance	7 000
Labour (payment depends on output)	95 000

Figure 2

(f) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

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Figure 3 shows the market for apples.

(g) Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

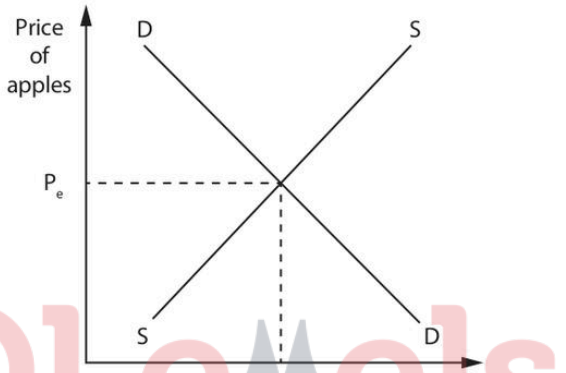


Figure 3

A firm produces tennis balls. There are a number of stages in the process of producing tennis balls. The firm uses division of labour in its factory.

(h) Explain **one** advantage of using division of labour for the firm.

(3)

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

Drinking water in the Canary Islands has to be filtered by machines to remove the salt from sea water. Samples are taken by production workers to ensure salt and impurities have been removed.

(i) With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands.

(6)

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6

P 7 4 0 5 6 R A 0 6 2 4

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

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(Total for Question 1 = 20 marks)

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1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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3. Question 1 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

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(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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3. Question 1 · part e · 1 mark · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

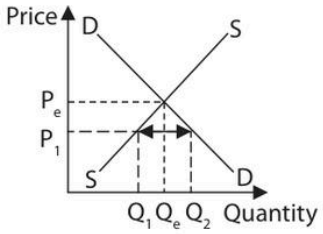
2020 JAN · Paper 01

Further practice · Attempt part b only.

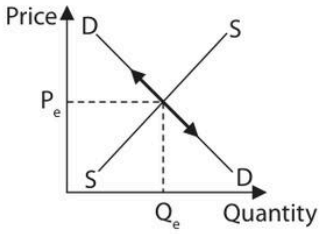
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

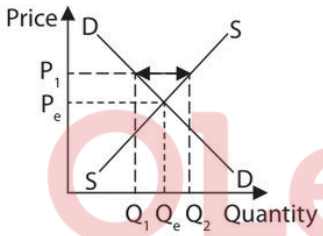
☒ **A**



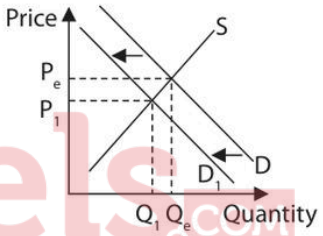
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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4. Question 2 · part b · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part b only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

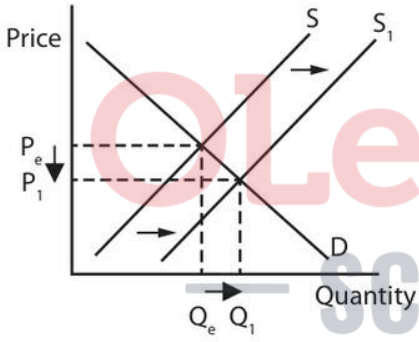
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

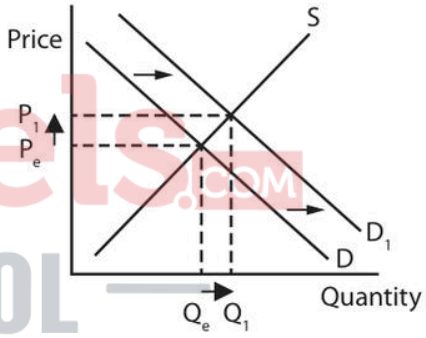
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

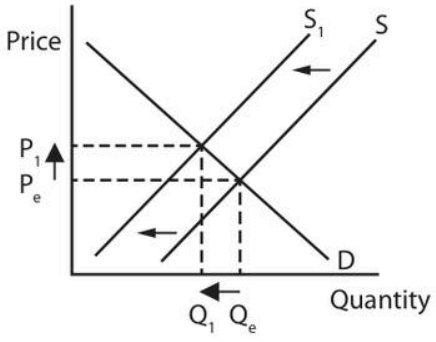
☒ **A**



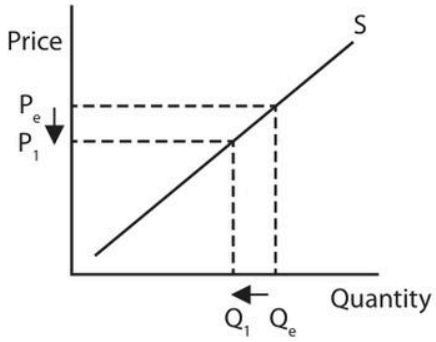
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.

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(g) Using the diagram below, draw the likely effects on the market for bread after a decrease in the population. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

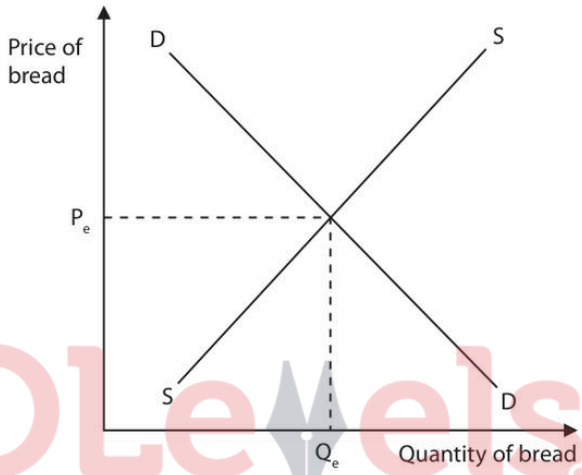


Figure 2

The music entertainment industry is dominated by a few main firms. These are BMG, EMI Group, Sony, Universal Music Group and Warner.

(h) Explain **one** possible barrier to entry a new firm might face when trying to enter this industry.

(3)

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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.

Coffee is a popular drink in many countries around the world. Beans are picked by hand from coffee plants once the fruit is ready to harvest. It is then put through a process which includes sorting the type of bean and transforming it from its natural state. It can be sold as a bean, ground to make coffee or even as the instant product. Machines are used for most of the process but cannot identify which beans are ready to pick.

(i) With reference to the data above and your knowledge of economics, analyse why all four factors of production might be used to produce coffee.

(6)

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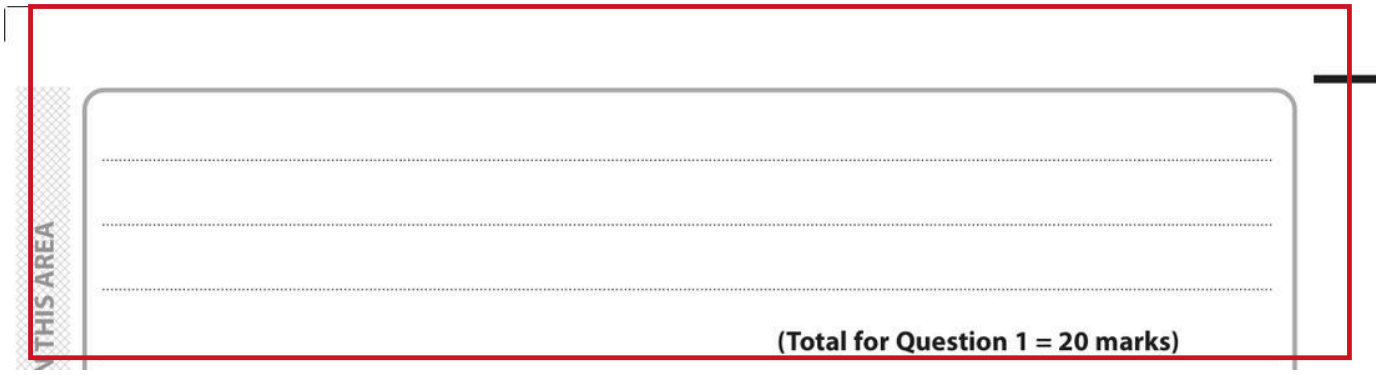
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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.



Working and answer

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6. Question 1 · part d · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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6. Question 1 · part d · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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P 6 5 8 9 6 A 0 3 2 4

6. Question 1 · part d · 1 mark · Working and answer

Working and answer

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7. Question 2 · part f · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

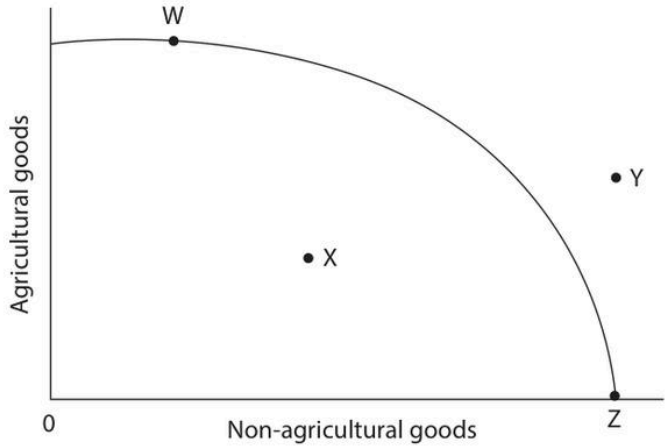


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

.....

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P 6 5 8 9 7 R A 0 6 2 0

7. Question 2 · part f · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

(f) Describe **one** reason why a computer can be a factor of production.

(2)

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7. Question 2 · part f · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

Abi owns a small cafe. It is often very busy and customers may have to wait for a table. Abi is considering whether to move to a larger premises. A larger property has become available but it would cost almost double the current rent.

(g) Explain **one** factor that could affect whether Abi is able to expand her business.

(3)

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7. Question 2 · part f · 2 marks · Working and answer

Working and answer

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8. Question 1 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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8. Question 1 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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P 6 6 3 2 8 A 0 3 2 4

8. Question 1 · part e · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part a · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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10. Question 1 · part a · 1 mark · Working and answer

Working and answer

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11. Question 1 · part d · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part d only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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11. Question 1 · part d · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part d only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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11. Question 1 · part d · 1 mark · Working and answer

Working and answer

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12. Question 2 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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P 7 4 0 5 7 A 0 7 2 4

12. Question 2 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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12. Question 2 · part e · 1 mark · Working and answer

Working and answer

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13. Question 2 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$

☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$

☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$

☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

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☒ **C** A subsidy

☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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13. Question 2 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

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(1)

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(2)

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13. Question 2 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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Figure 2 shows the supply of rice in a region during 2021.

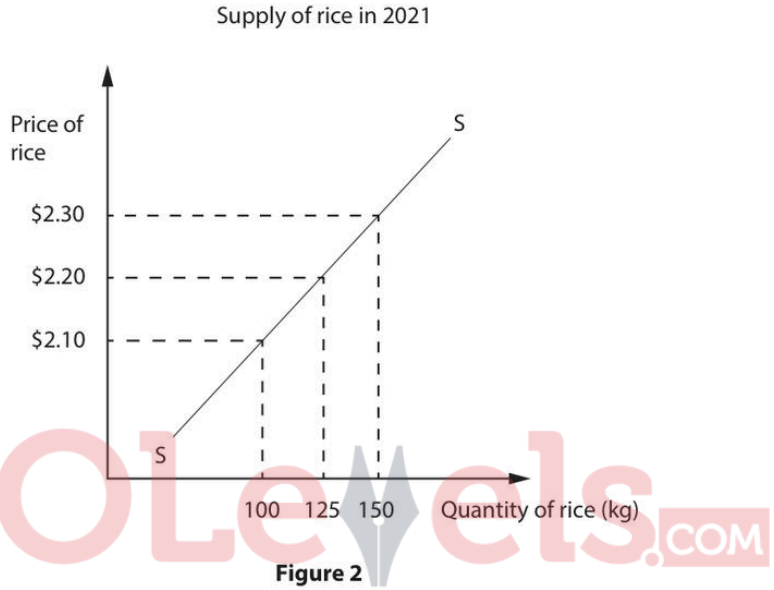


Figure 2

The equilibrium price of rice is $2.20 per kg.

(g) Explain **one** effect on the supply of rice following a change in its equilibrium price.

(3)

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13. Question 2 · part f · 2 marks · Working and answer

Working and answer

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14. Question 2 · part e · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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14. Question 2 · part e · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

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Figure 3 shows some of the production costs in March for a firm manufacturing clothing in Bangladesh.

Production costs	Bangladeshi Taka (Tk)
Rent	20 250
Raw materials	10 050
Advertising	5 125
Labour (paid in direct proportion to output)	105 000

Figure 3

(d) Calculate the **total fixed costs** for the firm in March. You are advised to show your working.

(2)

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(e) Describe **one** reason why an entrepreneur is a factor of production.

(2)

14. Question 2 · part e · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

In 2028, the lowest age at which workers can receive a private pension in the UK will rise from 55 to 57. This means that the age of retirement will increase for many people.

(f) Explain **one** advantage for firms of an increase in the retirement age.

(3)

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14. Question 2 · part e · 2 marks · Working and answer

Working and answer

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a definition of opportunity cost?

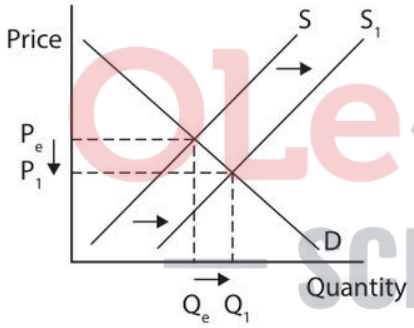
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

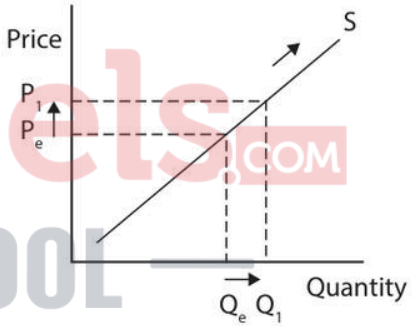
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

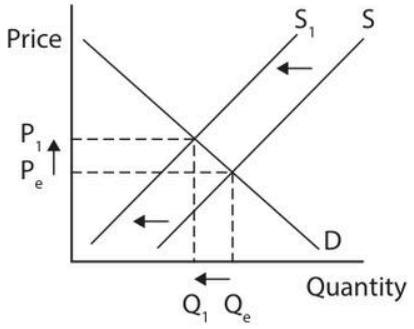
☒ **A**



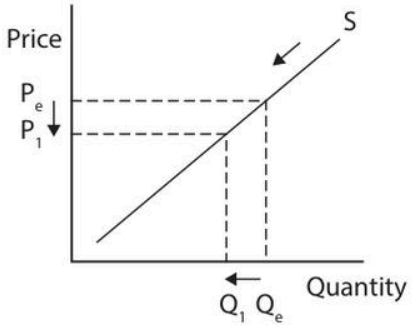
☒ **B**



☒ **C**



☒ **D**



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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

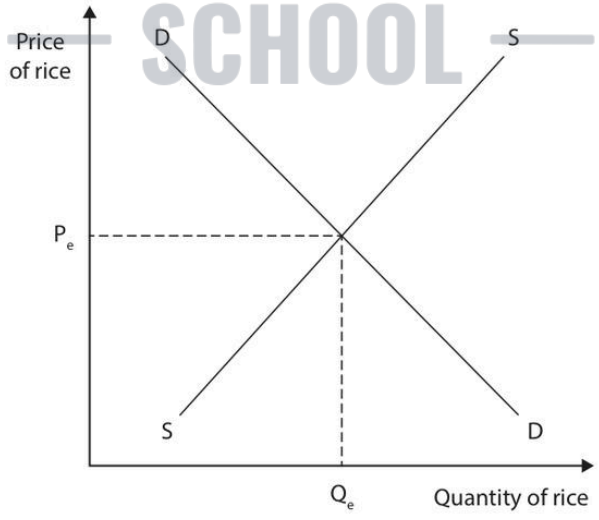


Figure 1

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

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Six months after the price for a soft drink increased, its price elasticity of demand (PED) changed from –1.5 to –2.0.

(h) Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time.

(3)

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

The main ingredient of chocolate is cocoa. Firstly, cocoa pods are picked from trees. This is mostly done by hand to protect the trees. Cocoa beans are removed from the pods by hand or by machine, before the beans are roasted in ovens. Other ingredients, such as sugar, are added during further stages in the production process.

(i) With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate.

(6)

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.



15. Question 1 · part i · 6 marks · Working and answer

Working and answer

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16. Question 1 · part d · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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16. Question 1 · part d · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%.
You are advised to show your working.

(2)

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16. Question 1 · part d · 1 mark · Working and answer

Working and answer

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17. Question 2 · part e · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

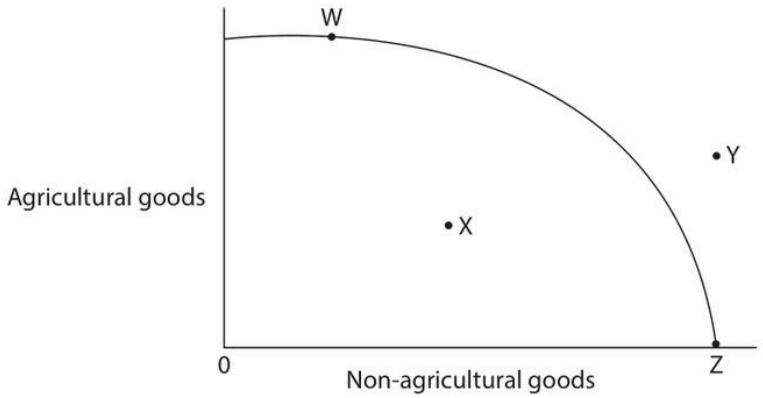


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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17. Question 2 · part e · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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8

P 7 2 1 3 2 A 0 8 2 4

17. Question 2 · part e · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

In 2023, the President of Argentina announced plans to privatise the state-owned broadcaster, Radio Nacional.

(f) Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina.

(3)

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17. Question 2 · part e · 2 marks · Working and answer

Working and answer

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18. Question 1 · part b · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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18. Question 1 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Sectors of the economy and how they change

Primary, secondary and tertiary sectors, classifying jobs and firms, and why the balance of employment and output shifts as economies develop.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-02

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

Figure 1 shows the market for mangoes.

(g) Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

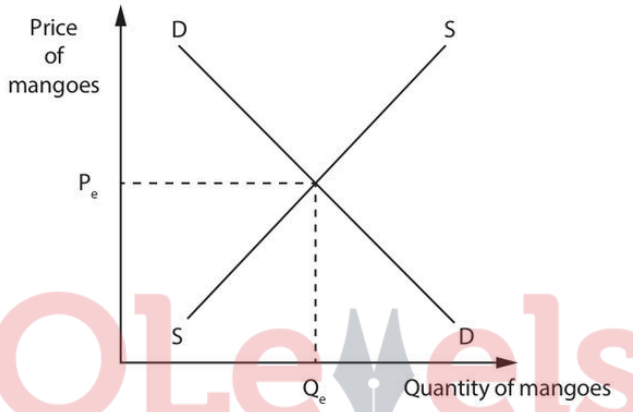


Figure 1

Christine runs a small cafe in New Zealand. She has many regular customers and has a reputation for serving large-sized meals, even though it means she makes less profit on each meal.

(h) Explain **one** possible reason why Christine serves large-sized meals.

(3)

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P 7 4 0 5 7 A 0 4 2 4

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

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There has been a decline in employment in the secondary sector in developed countries such as Germany, the UK and the US. Goods are now often manufactured in low-cost Asian countries. At the same time, there has been a rise in the number of people employed in the tertiary sector in developed countries.

(i) With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries.

(6)

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P 7 4 0 5 7 A 0 5 2 4

5

Turn over ▶

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

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(Total for Question 1 = 20 marks)

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1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 1 · part e · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part e · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part e only.

(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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2. Question 1 · part e · 1 mark · Working and answer

Working and answer

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3. Question 1 · part d · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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3. Question 1 · part d · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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P 5 8 2 7 6 A 0 3 2 8

3. Question 1 · part d · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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4. Question 1 · part d · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part d only.

(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Car production is most likely to take place in which sector of the economy?

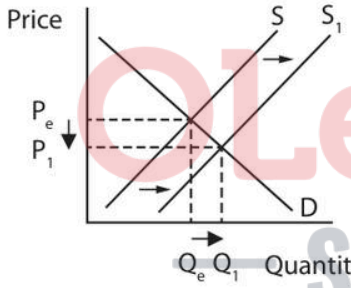
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

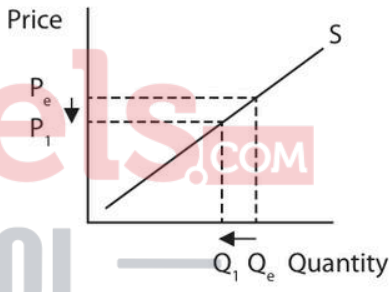
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

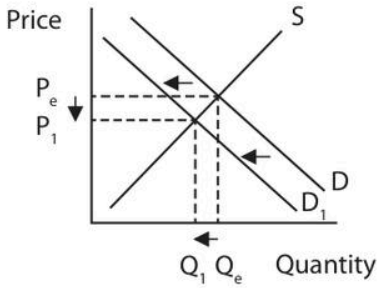
☒ **A**



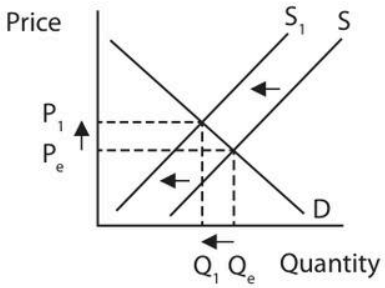
☒ **B**



☒ **C**



☒ **D**



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P 6 2 6 4 1 R A 0 2 2 8

5. Question 1 · part a · 1 mark · Working and answer

Working and answer

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6. Question 3 · part b · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is likely to lead to an inefficient allocation of resources?

(1)

- ☒ **A** Migration
- ☒ **B** Competition
- ☒ **C** Lack of information
- ☒ **D** Division of labour

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** Sheep farmer
- ☒ **B** Factory worker
- ☒ **C** Coal miner
- ☒ **D** Sales assistant

(c) Using the diagram below, draw the effects of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

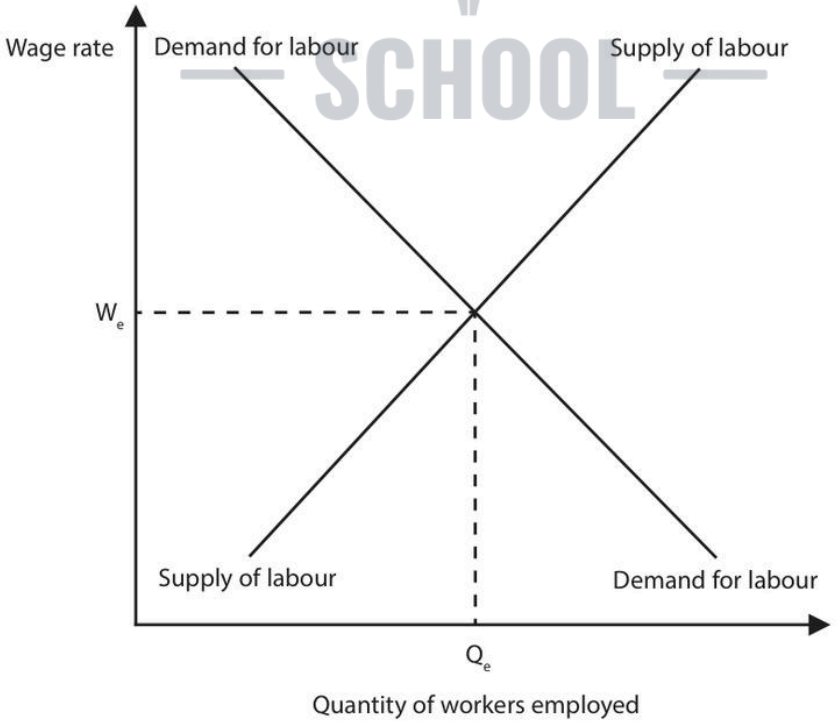


Figure 3

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6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects on the market for crops after farmland is damaged by flooding. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

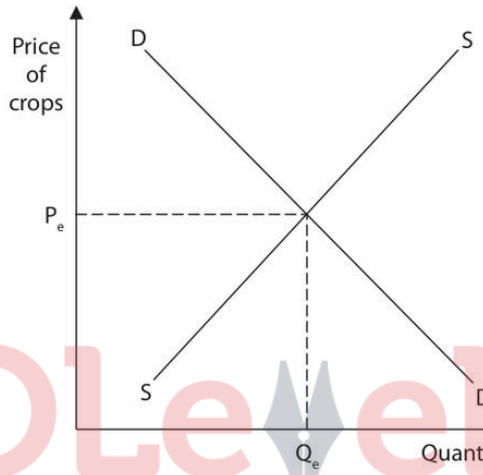


Figure 1

Tertiary sector employment has increased by 13.1% in China during the last 10 years. However, there have been few changes in the level of employment in the secondary sector.

(h) Explain **one** possible reason for this trend.

(3)

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P 6 6 3 2 8 A 0 4 2 4

7. Question 1 · part h · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Unilever is a multinational corporation that sells consumer goods. It currently uses 700,000 tonnes of non-recyclable plastic packaging each year. By 2025, it plans to reduce overall usage by 100,000 tonnes and replace the remaining 600,000 tonnes with more expensive plastic, which can be recycled.

(Source adapted from: https://www.npr.org/2019/10/07/767983664/unilever-vows-to-reduce-plastic-packaging-use-by-2025?t=1573738349481)

(i) With reference to the data above and your knowledge of economics, analyse how the profits of Unilever may be affected.

(6)

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(Total for Question 1 = 20 marks)

7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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8. Question 3 · part b · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

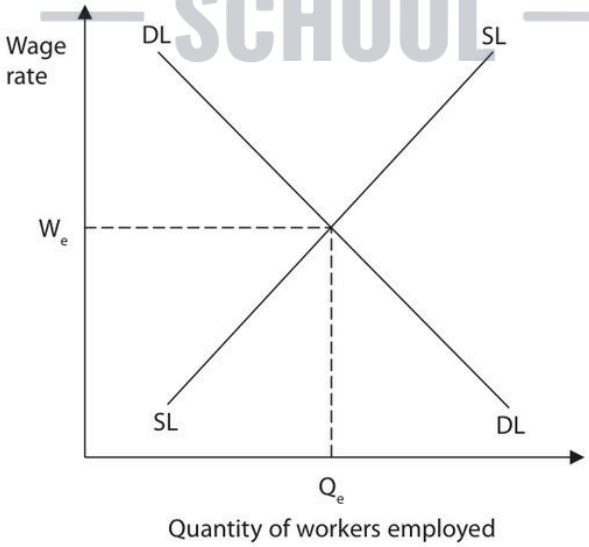


Figure 3

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8. Question 3 · part b · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part a only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

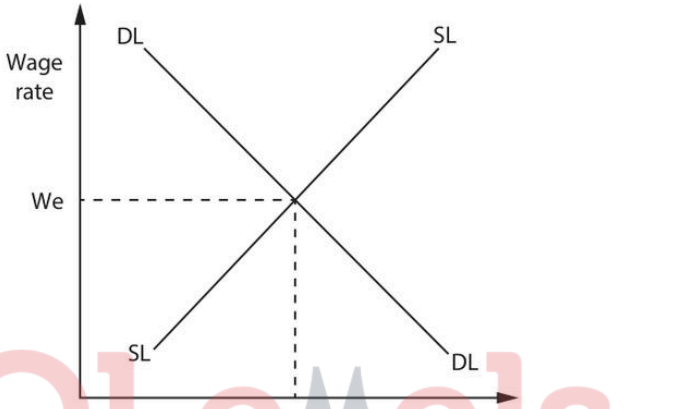


Figure 4

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10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

Studies have shown that there are a number of negative impacts from spending too much time using a mobile phone. These include pain in the thumbs, loss of sleep and anxiety. Despite this, it is not unusual for people to spend a lot of time using their phone, even in the presence of others.

(d) With reference to the data above and your knowledge of economics, analyse why some people may ignore the negative impacts of spending a lot of time using a mobile phone.

(6)

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10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

Manufacturing is an important part of any economy because as well as providing many products, it generates income and tax revenue. Governments can use this tax revenue to provide things such as health care and education, which are part of the tertiary sector.

(e) With reference to the data above and your knowledge of economics, assess the role of the secondary sector in an economy.

(9)

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10. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 3 · part a · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is an example of a job in the primary sector of the economy?

(1)

- ☒ **A** Farmer
- ☒ **B** Mechanic
- ☒ **C** Shop assistant
- ☒ **D** Teacher

(b) Total revenue can be defined as the quantity of goods sold

(1)

- ☒ **A** added to the price
- ☒ **B** subtracted from the price
- ☒ **C** multiplied by the price
- ☒ **D** divided by the price

(c) Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price.

(3)

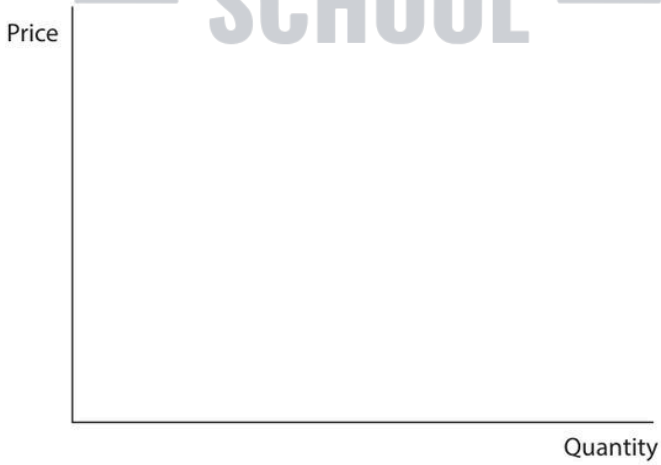


Figure 2

O Levels SCHOOL .COM

11. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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12. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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12. Question 1 · part d · 1 mark · Working and answer

Working and answer

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13. Question 3 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) A free rider can be defined as an individual who does which **one** of the following?

(1)

- ☒ **A** Enjoys the benefit of a good after paying for it
- ☒ **B** Enjoys the benefit of a good but does not pay for it
- ☒ **C** Gives a good away after paying for it
- ☒ **D** Neither uses a good nor pays for it

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** House builder
- ☒ **B** Cattle farmer
- ☒ **C** Hotel receptionist
- ☒ **D** Forestry worker

(c) Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

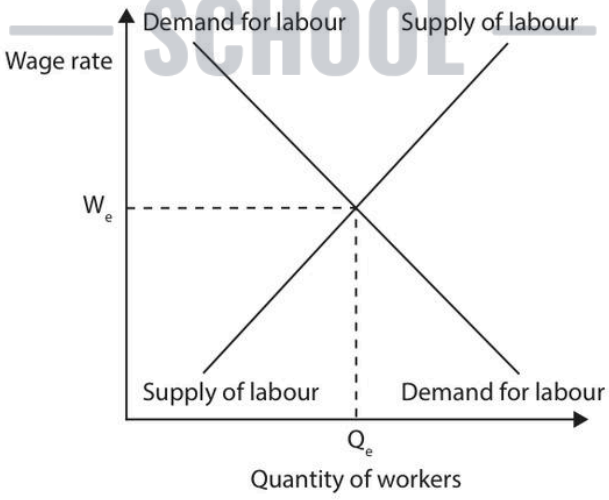


Figure 3

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P 7 2 1 3 2 A 0 1 2 2 4

13. Question 3 · part b · 1 mark · Working and answer

Working and answer

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14. Question 1 · part a · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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14. Question 1 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Draw a sector pie chart for a country

Drawing and labelling approximate primary, secondary and tertiary slices on a blank pie chart for a named type of economy.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-03

1. Question 3 · part c · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part c only.

3 (a) Which **one** of the following factors may cause a shift of the demand curve?

(1)

- ☒ **A** Costs of production
- ☒ **B** Demographic changes
- ☒ **C** Subsidies
- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
- ☒ **D** Weather

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.

(3)

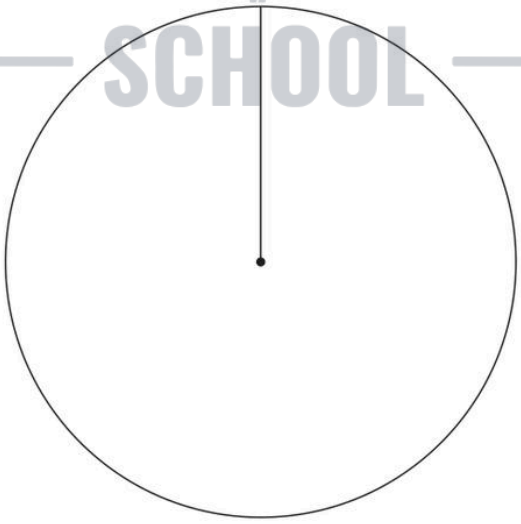


Figure 3

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1. Question 3 · part c · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part c only.

In the capital of Laos, Vientiane, residents and tourists can now use the LOCA app to hire a taxi. Figure 4 shows the excess supply of LOCA drivers working in an area of the city when the price of a journey is 10 000 Kip.

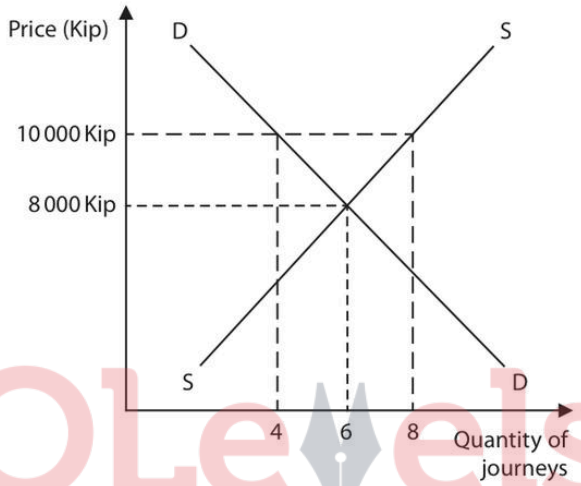


Figure 4

(d) With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 2 · part c · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part c · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

France is a developed country.

(c) On the blank pie chart below, draw and label the approximate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developed country such as France.

(3)

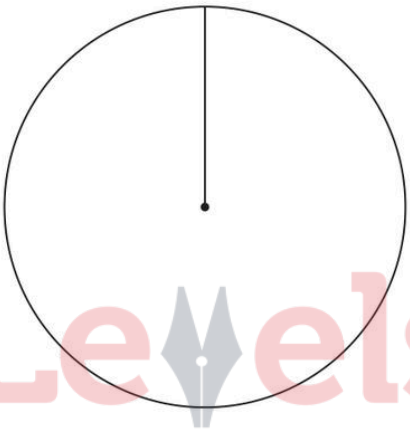


Figure 2

(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

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P 6 0 7 0 9 A 0 7 2 0

7

Turn over ▶

2. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part c · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following is the definition of a merger?

(1)

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

(1)

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

(3)

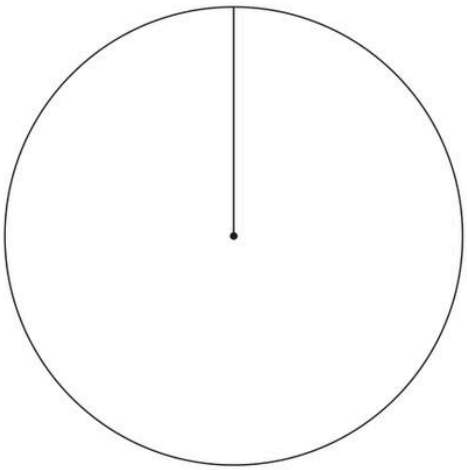


Figure 5

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3. Question 3 · part c · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

There are plans to build a $296m residential tower in the business district of Sydney, Australia, but some local people do not want the tower to be built.

(Source adapted from: https://architectureau.com/articles/tallest-residential-tower-in-sydney-approved/)

(d) With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower.

(6)

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part c · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Litter
- ☒ **B** Rent
- ☒ **C** Indirect tax
- ☒ **D** Vaccinations

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.

(3)

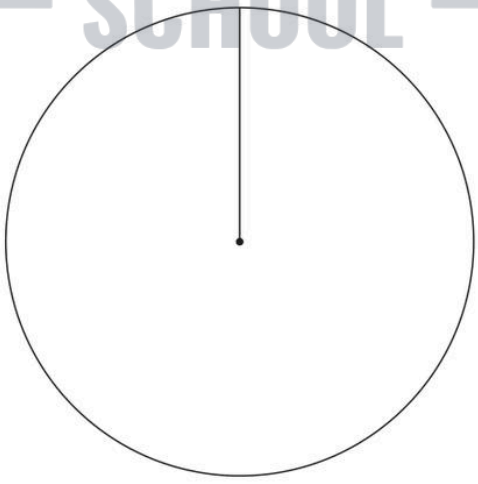


Figure 4

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4. Question 3 · part c · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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Figure 5 shows the excess demand for tickets at an event in Stockholm, Sweden, when the price of a ticket is 1 500 krona.

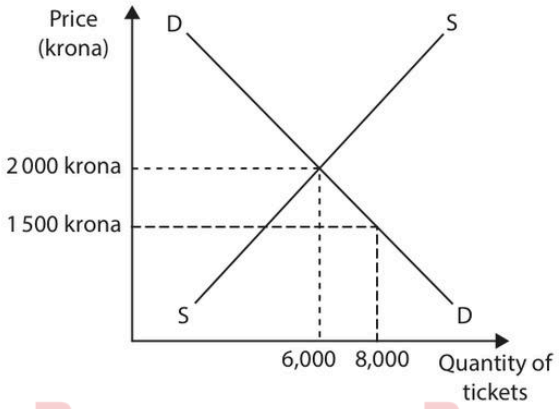


Figure 5

(d) With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand.

(6)

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4. Question 3 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Reading a production possibility curve and economic growth

What points on, inside and outside a PPC mean, movements along it, outward and inward shifts, and the causes of positive or negative growth.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-03

1. Question 1 · part i · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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P 7 1 5 5 6 A 0 2 2 4

1. Question 1 · part i · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

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(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

Olevels.com SCHOOL

1. Question 1 · part i · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

(g) Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

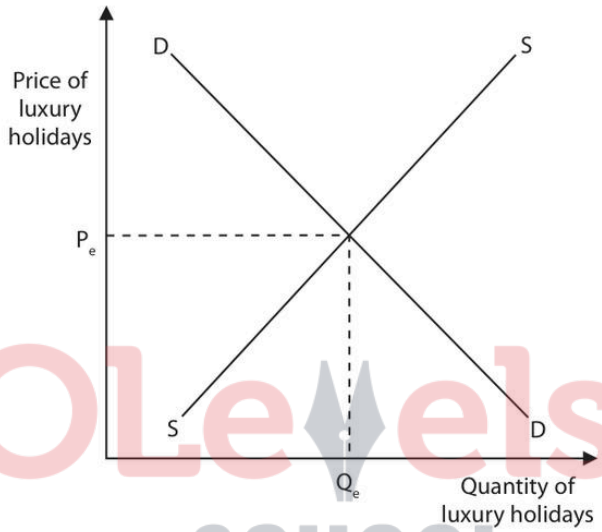


Figure 1

Government-owned Angola Telecom is to be privatised in an attempt to make the industry more efficient.

(h) Explain **one** possible disadvantage of privatisation for workers in the telecoms industry in Angola.

(3)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

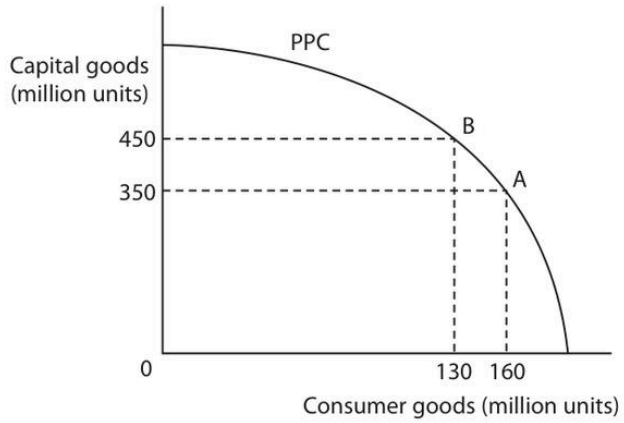


Figure 2

Figure 2 shows the production possibility curve (PPC) for an economy.

(i) With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC).

(6)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.



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1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 3 · part e · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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3. Question 3 · part e · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

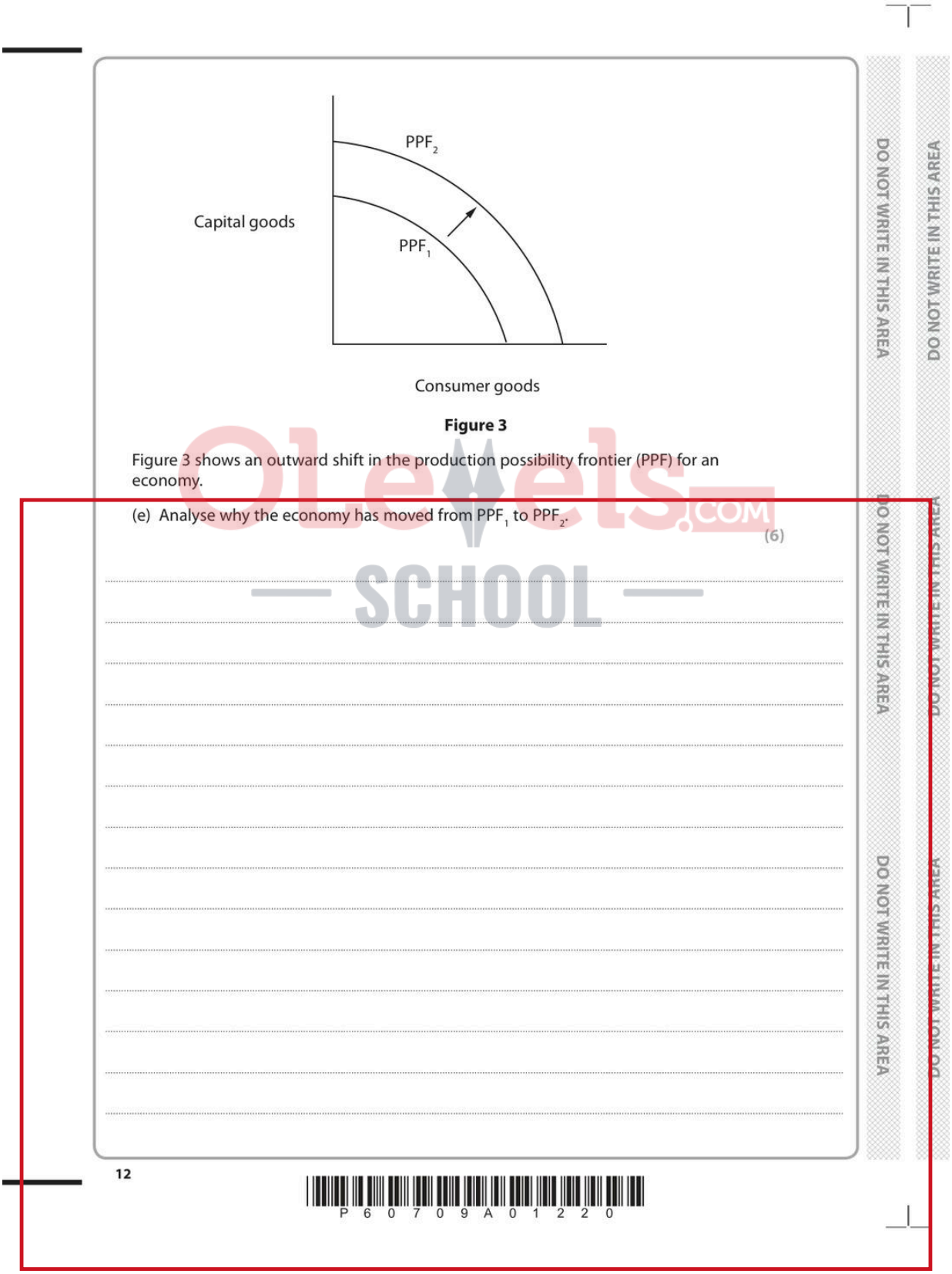


Figure 3

Figure 3 shows an outward shift in the production possibility frontier (PPF) for an economy.

(e) Analyse why the economy has moved from PPF_1 to PPF_2. (6)

12

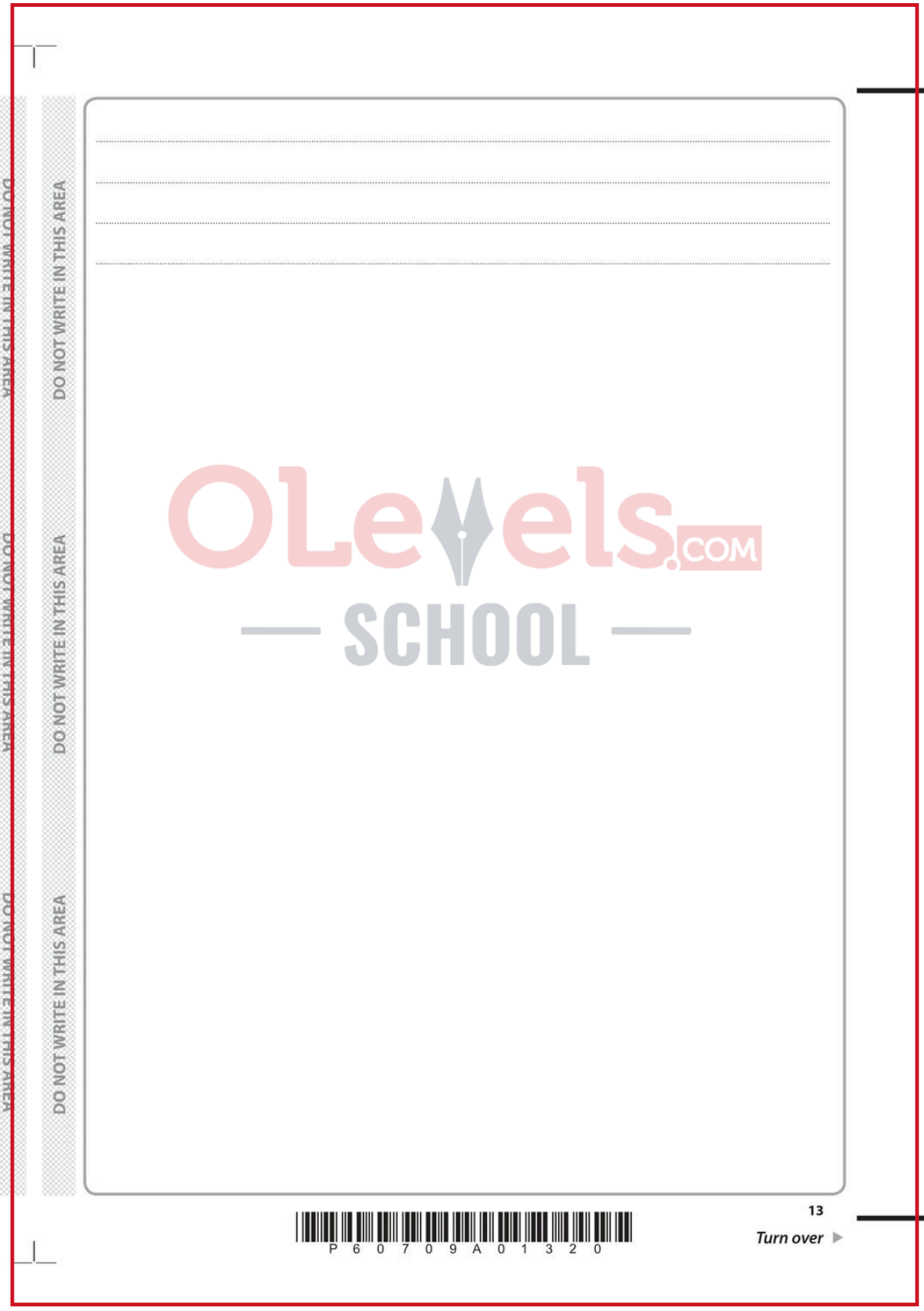
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3. Question 3 · part e · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.



3. Question 3 · part e · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

South Africa has a new trade union federation

The newly formed trade union group, the South African Federation of Trade Unions (SAFTU), aims to represent workers in the country. In the past, trade unions in South Africa have played an important role, but the influence of trade unions has declined globally in recent years. SAFTU has nearly 700,000 members and is the second largest group of trade unions in South Africa.

(Source: adapted from http://theconversation.com/south-africa-has-a-new-trade-union-federation-can-it-break-the-mould-76609)

(f) With reference to the data above and your knowledge of economics, assess how trade unions, such as those in the SAFTU, might have an impact on the labour market.

(9)

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3. Question 3 · part e · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

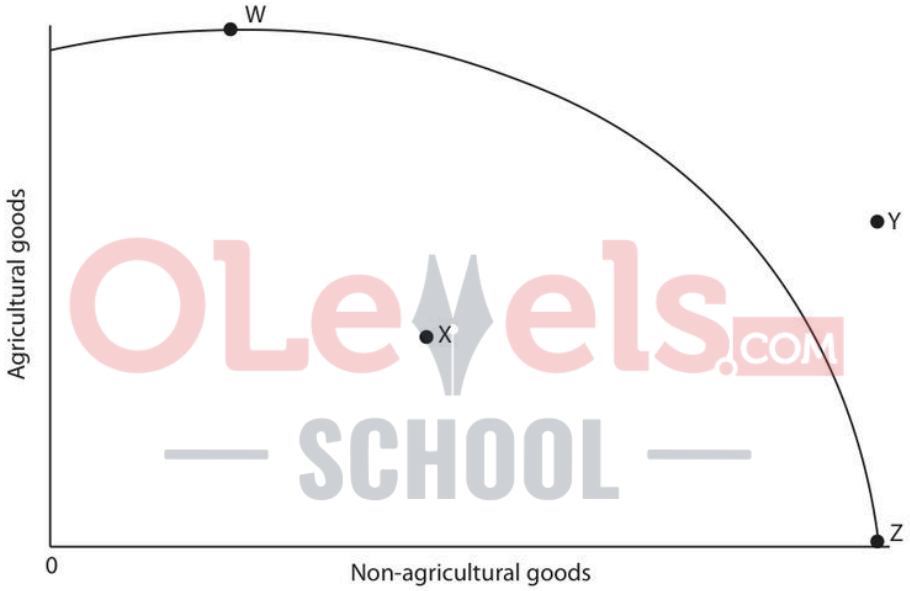


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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4. Question 2 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Car production is most likely to take place in which sector of the economy?

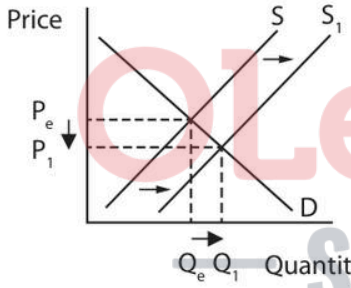
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

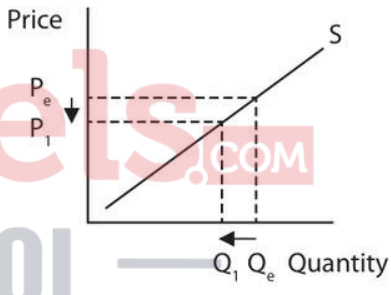
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

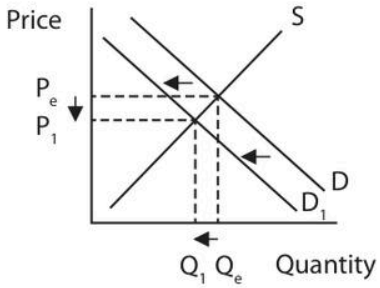
☒ **A**



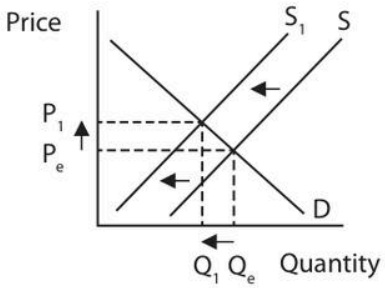
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

(e) Define the term external benefit.

(1)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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2

P 6 5 8 9 6 A 0 2 2 4

6. Question 1 · part a · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

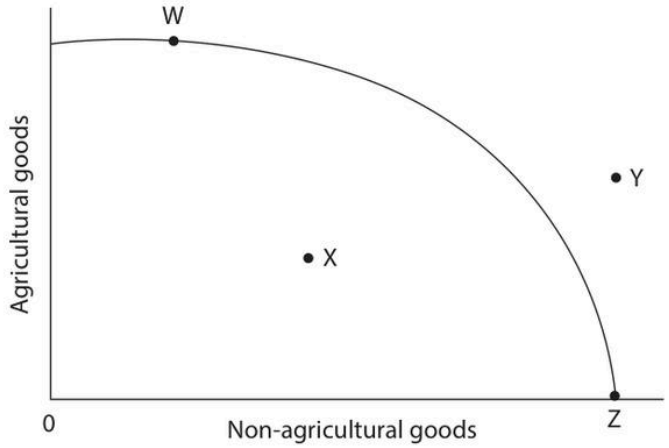


Figure 2

(a) Which **one** of the following points shows unemployed resources?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect

(1)

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small.

(1)

.....

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

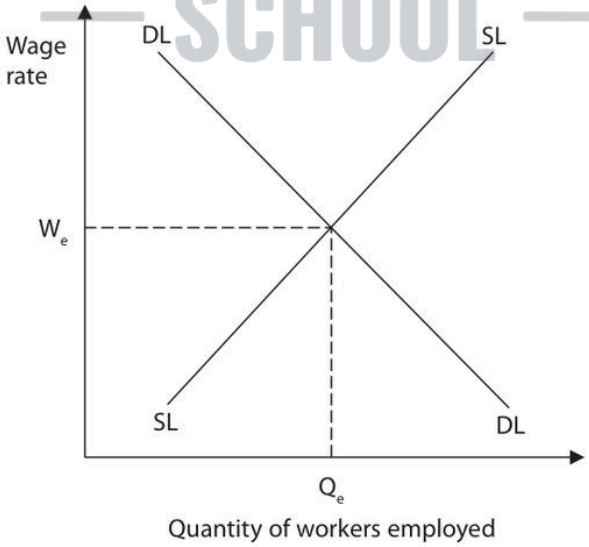


Figure 3

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8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

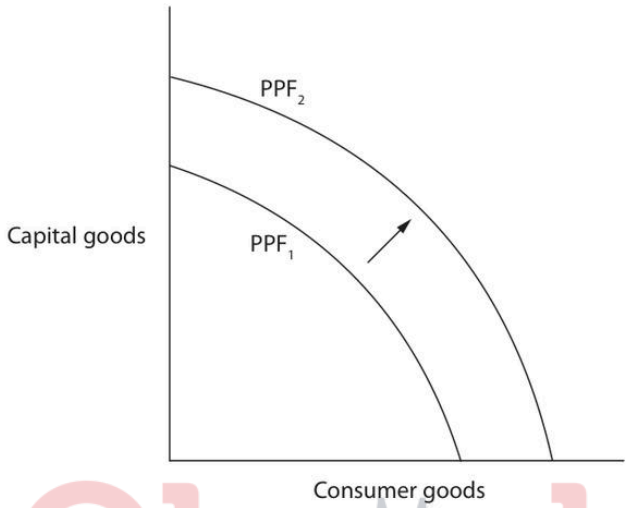


Figure 4

Figure 4 shows an outward shift in the production possibility frontier (PPF) for Zambia in 2019. Agriculture, construction and copper production are some of the main areas that contribute to the economy of Zambia.

(d) With reference to the data above and your knowledge of economics, analyse why the economy has moved from PPF_1 to PPF_2.

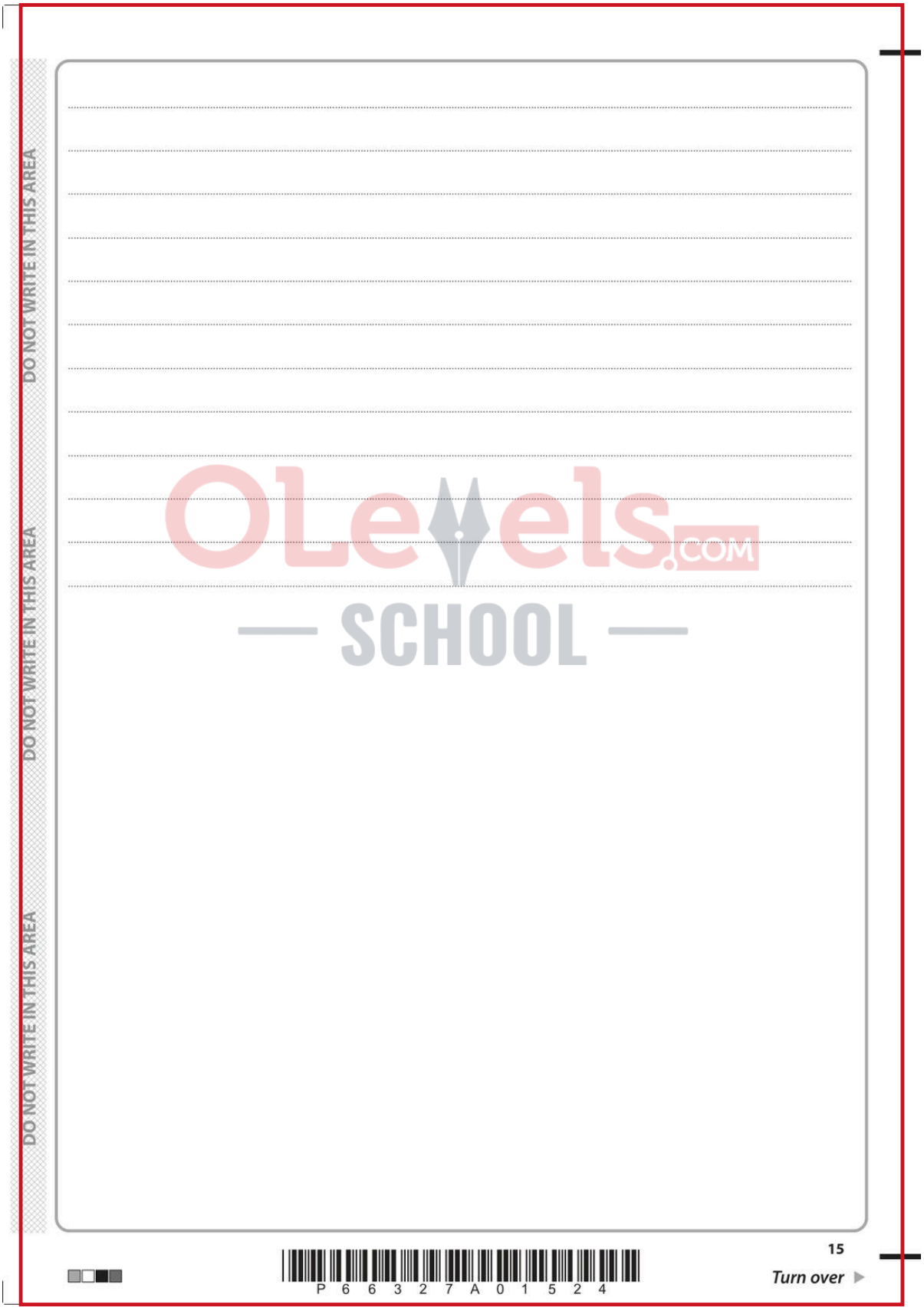
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8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.



8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

It is estimated that 23 billion bricks are made each year in Bangladesh. The industry employs over one million people. Demand for bricks is rising due to growth in the construction industry. The production of bricks contributes to the severe air pollution in the country by emitting smoke and dust clouds. Children, the elderly, pregnant women and those with a respiratory or heart condition may be especially affected by the poor air quality.

(Source adapted from: https://undark.org/2018/09/05/air-pollution-dhaka/)

(e) With reference to the data above and your knowledge of economics, assess the extent to which the costs of producing bricks in Bangladesh are external costs.

(9)

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8. Question 3 · part d · 6 marks · Working and answer

Working and answer

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9. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

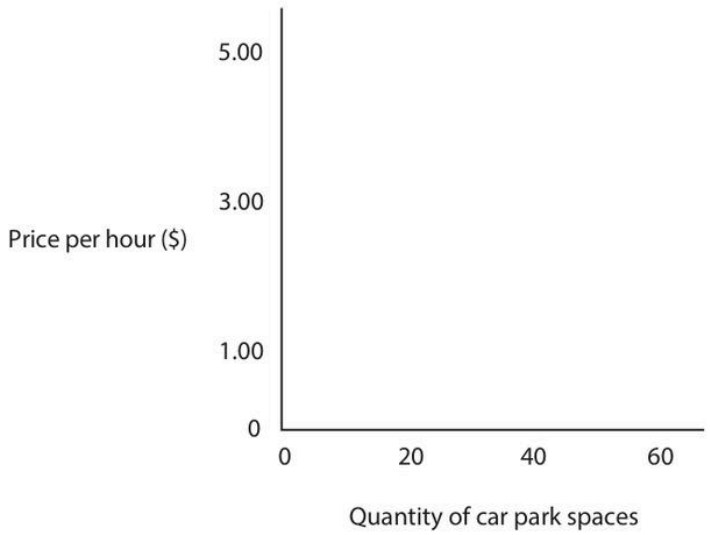
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



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9. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

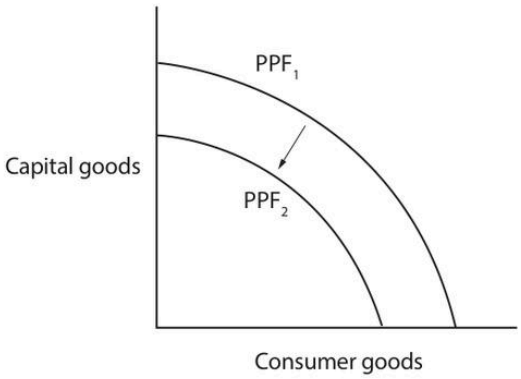


Figure 4

Figure 4 shows an inward shift in the production possibility frontier (PPF) for an economy.

(d) With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. (6)

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9. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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9. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

In 2022, two entertainment firms WarnerMedia and Discovery are expected to merge. The new firm will be called Warner Bros. Discovery. It is predicted it will have 59 million subscribers to its merged streaming services. This will increase further if plans to release several new programmes go ahead.

The new firm will have assets that include: many popular television channels; film, animation and television studios; DC Comics; and news channel CNN. The new company will have an estimated value of $150bn.

(e) With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale.

(9)

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9. Question 3 · part d · 6 marks · Working and answer

Working and answer

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10. Question 1 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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Working and answer

11. Question 2 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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11. Question 2 · part b · 1 mark · Working and answer

Working and answer

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12. Question 1 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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12. Question 1 · part a · 1 mark · Working and answer

Working and answer

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13. Question 2 · part a · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

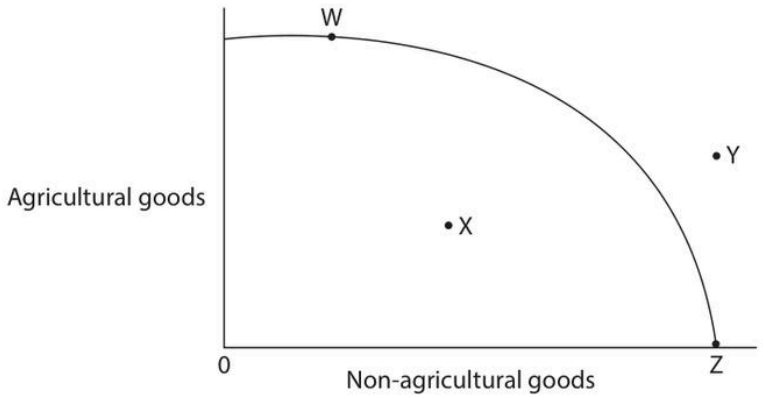


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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13. Question 2 · part a · 1 mark · Working and answer

Working and answer

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14. Question 2 · part b · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b only.

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2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

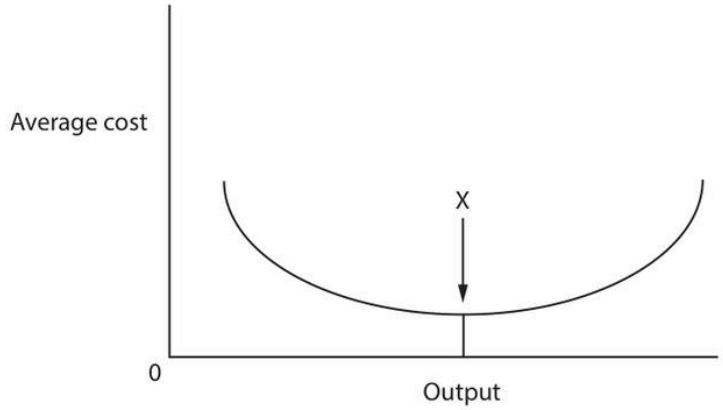


Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

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(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

14. Question 2 · part b · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

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P 7 8 9 5 6 A 0 8 2 4

14. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Draw a PPC showing a movement or shift

Drawing a labelled concave PPC for two goods, then showing a move along it or a shift to a new curve.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-04

1. Question 3 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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1. Question 3 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

(3)

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1. Question 3 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

Each year the Turkish Government raises the national monthly minimum wage. It increased from 2 020 Turkish Lira (TRY) in 2018 to 2 558 Turkish Lira (TRY) in 2019.

(d) With reference to the data above and your knowledge of economics, analyse why the Turkish Government might want to increase the minimum wage every year.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 3 · part c · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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2. Question 3 · part c · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

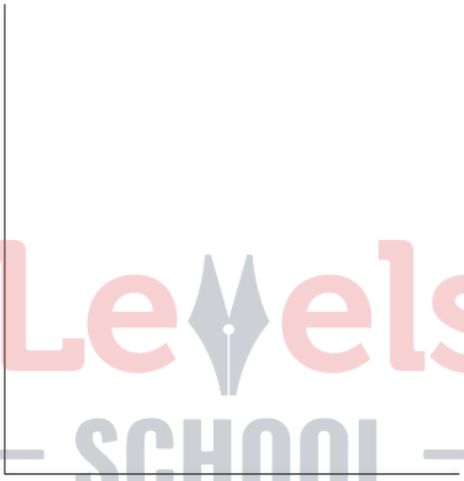


Figure 2

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2. Question 3 · part c · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

Technology has been used to perform some of the jobs previously done for many years by humans, for example, robots in factories and self-checkout machines. This substitution of capital for labour is likely to increase as technology advances. At most call centres, humans currently respond to customer queries but Google has developed an automated assistant. Many telecom firms have switched to using calls made by these automated assistants.

(d) With reference to the data above and your knowledge of economics, analyse how the demand for labour might be affected by the use of machines.

(6)

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2. Question 3 · part c · 3 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

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3. Question 3 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce tables and/or chairs. On your PPF, draw what would happen if the production of chairs decreased and tables increased.

(3)

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3. Question 3 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

In 2019, the National Health Service (NHS) in England began a campaign to check the records of all children who had been given the measles, mumps and rubella (MMR) vaccination. Those children missing the MMR vaccination were then invited to make an appointment to receive the vaccination.

(Source adapted from: https://www.gov.uk/government/publications/mmr-catch-up-for-10-to-11-year-old-children-information-for-gps)

(d) With reference to the data above and your knowledge of economics, analyse why vaccinations may be an external benefit.

(6)

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part c · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

(1)

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

(3)

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4. Question 3 · part c · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

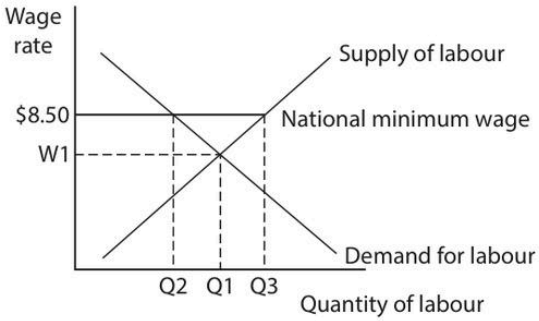


Figure 4

In 2021, the national minimum wage in Barbados was increased from $6.25 per hour to $8.50 per hour.

(d) With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados. (6)

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4. Question 3 · part c · 3 marks · Working and answer

Working and answer

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Practice workbook · Opportunity cost from a PPC diagram

Moving along a PPC from one output point to another and measuring how much of the other good is given up.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-01

1. Question 4 · part a · 2 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part a only.

4 Figure 4 shows the Production Possibility Curve (PPC) for an economy making capital goods and consumer goods.

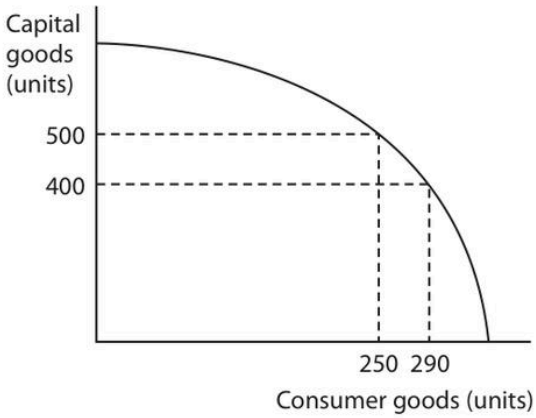


Figure 4

(a) When the current level of output is 250 units of consumer goods, calculate the **opportunity cost** of producing an additional 40 units of consumer goods. You are advised to show your working. **(2)**

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1. Question 4 · part a · 2 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part a only.

A tagine is a type of cooking pot which is used to make meals throughout Morocco. Almost every home in Morocco has one. They have also become an increasingly popular purchase for tourists who want to take home a souvenir of their travels. Producers can sell tagines in markets all over Morocco. However, as demand has increased, many have chosen to sell in the areas visited by tourists, such as Marrakesh.

(b) With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

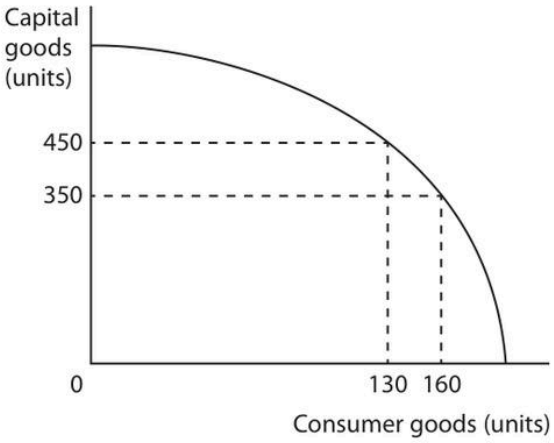


Figure 6

(a) When the current level of output is 350 units of capital goods, calculate the **opportunity cost** of producing an additional 100 units of capital goods. You are advised to show your working.

(2)

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2. Question 4 · part a · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

Five years ago Ben Hogan began working for a large firm based in London. He was originally happy with his role but is now thinking about leaving. He is frustrated with how long it takes for even straight-forward decisions to be made.

The firm has grown considerably in the last two years and there are many more employees as a result. There is an increasing number of checklists about how to carry out tasks. Ben finds this time-consuming and feels his ideas are no longer listened to.

(b) With reference to the data above and your knowledge of economics, analyse why Ben's employer might be experiencing diseconomies of scale.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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3. Question 4 · part a · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part a only.

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4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

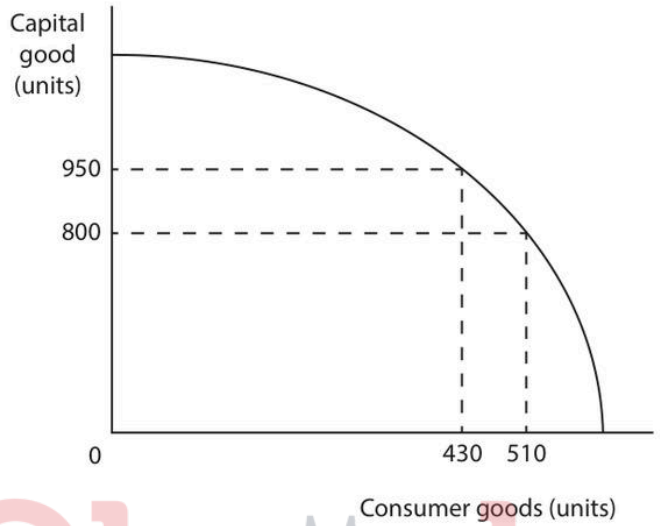


Figure 6

(a) When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working.

(2)

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3. Question 4 · part a · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part a only.

Bulgaria has an extensive rail network. Many towns and cities are also accessible by bus. Both these methods of public transport are low priced. However, train travel is considered poor by European standards, with frequent train cancellations and a poor record of safety. Buses are often late and take a lot longer to reach their destination than if travelling by private car.

(b) With reference to the data above and your knowledge of economics, analyse how income elasticity of demand (YED) may affect operators of public transport as incomes increase in Bulgaria.

(6)

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P 7 8 9 5 6 A 0 1 8 2 4

3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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